Role of WB/IMF/WTO

* Washington Consensus was ~~signed~~ presented in 1990. The Washington Consensus recommended structural reforms that increased the role of market forces in exchange for immediate financial help. It refers to a set of free-market economic policies supported by prominent financial institutions such as the International Monetary Fund, the World Bank and the U.S. Treasury.

To ensure free market, there are some reform list in the Washington Consensus. Such as-

↳ Public spending
↳ Trade policy reform
↳ Privatization

① Public Spending

Reduce expenditures on indiscriminate subsidies; target spending on health, education and (to some extent) infrastructure. In the 2023-24 fiscal year budget of Bangladesh, the share of agricultural sector is 5.70 percent, health is 5.00 percent, education is approximately 4 to 5 percent, which are relatively lower than developed countries. On the other hand, the share of transportation

& infrustructure in the budget is 11.50 and in defense is 5.50 percent. It is the incentive of WB to spend more on ~~the~~ infrastructure & defense. More spending on these sectors means more loans from WB/IMF. Bangladesh government spend huge amount of money in infrustructure development such establishing power plant such as coal based power plant in Payra, Rampal, Matarbari; building port ~~for~~ and highways for export and import. These infrustructure development needs a big loan from WB/IMF. Govt. reduce public spending to repay the loan with interest.

Bangladesh spend a big amount of money in Germants sector. It is claimed that it creates employment and Bangladesh earn foreign currency by exporting clothings. But big multinational brands like H & M, Walmart, chanel buy cheap clothings from Bangladesh and sell them with a big profit. So the main beneficiary are the multinational brands.

(11) Trade Policy Reform

The main target of trade policy reform is removing trade restriction on foreign imports. It ensures the access of multinational corporations. For example, import of powder milk of Dano/Arla affected the local dairy production of Bangladesh. Bangladesh's dairy firms almost destroyed because of the importation of Dano/Arla. Import of Syngenta seed affected the local ~~traditional~~ seed. Because big multinational corporations get monetary help from their government, it is easy for them produce their goods relatively lower cost than our local industries. It creates permanent dependency on MNCs. Though WB talks about the local industrilization and self-sufficiency of a country through trade policy reform, it actually creates dependency on foreign products.

(iii) Privatization

Another policy area of Washington Consensus is privatization of state owned enterprises. WB/IMF claims that state owned enterprises are loss making, inefficient and subsidized. To make them efficient and profit making, ~~priva~~ selling them to private firms is necessary. Agro-based local industry such as jute mill/sugar mill of Bangladesh were self-sufficient and independent because all the raw materials were produced within the country. But when Bangladesh took loan from IMF in 1990-91, some of these industri got shut down and some were privatized. On the other hand, World Bank promotes export oriented ~~intrus~~ industries such as garments, shrimps etc. It generally helps the big business MNCs.

So the Washington Consensus / WB / IMF creates dependency on the MNCs and serve the interest of them.